

Rakhi Arora & Another v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 8 November 2023 · 2023:AHC:214889-DB · Writ-C No. 35093 of 2023 · **The order dated 03.11.2023 (which had proceeded under Clause 4.4(a)) was recalled on the petitioners' application; on merits, the writ petition was disposed of by directing that, on the petitioners filing their reply to the notice before the Executive Engineer (respondent no. 5) with the requisite documents, the competent authority decide the former connection-holder's objection to the transfer of the connection under Clause 4.44 of the Code on merits, after giving an opportunity of hearing to both the petitioners and the complainant (respondent no. 6).**

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HEADNOTE

Petitioner no. 1 became owner of the property housing her hotel (petitioner no. 2) through a family settlement recorded in a 2017 partition suit (decided by judgment dated 24 July 2019) and, on her husband's death, by mutation, and applied to transfer the existing electricity connection into her name under Clause 4.44 of the U.P. Electricity Supply Code, 2005. The former connection-holder (respondent no. 6) complained on 15 September 2023, and the Executive Engineer passed the impugned order dated 16 September 2023 without examining the record. The Division Bench first, on 3 November 2023, treated the matter under the new-connection provision (Clause 4.4(a)) and recorded that the petitioners had a right to the connection; on the petitioners' recall application it recalled that order as the transfer was in fact contested and required a hearing on merits. On merits, and on the parties' agreement, the Court held that a contested objection to a Clause 4.44 transfer is to be decided by the competent authority under the Code, and directed that, on the petitioners filing their reply to the notice with the requisite documents before respondent no. 5, the competent authority decide the objection of the contesting respondent on merits, but only after affording an opportunity of hearing to both the petitioners and the complainant. The writ petition was disposed of accordingly.

FACTUAL SUMMARY

Petitioner no. 2, M/s Durga Hotel, an unregistered proprietorship of petitioner no. 1 Rakhi Arora, was earlier run by an HUF headed by Puran Lal Arora and later as a proprietorship. In a 2017 partition suit (Suit No. 188/2017) filed by Rakhi Arora and her husband Mohit Arora, the properties were partitioned by a family settlement recorded in a judgment dated 24 July 2019, and ownership of the property was transferred to Rakhi Arora and Mohit Arora. Mohit Arora died on 20 December 2020, and the property was mutated in petitioner no. 1's name. She then applied to transfer the electricity connection into her name under Clause 4.44 of the U.P. Electricity Supply Code, 2005. The former connection-holder, Smt. Kailash Rani (respondent no. 6), complained to the licensee on 15 September 2023, and the Executive Engineer, Vidyut Vitaran Khand-II, Shahjahanpur (respondent no. 5), passed the impugned order dated 16 September 2023 without examining the record. In the writ petition the Division Bench first, on 3 November 2023, proceeded under Clause 4.4(a) (new connections) and observed that the petitioners had a right to the connection; on the petitioners' C.M. Recall Application No. 3 of 2023 (to which the respondents had no objection), it recalled that order on 8 November 2023 and decided the matter on merits by relegating the objection to the competent authority.

REUSABLE CONSTRUCTIONS

1. Transfer of an existing electricity connection following a change of ownership (here by a family settlement recorded in a 2017 partition suit and consequent mutation) is governed by Clause 4.44 of the U.P. Electricity Supply Code, 2005, not by the new-connection provisions of Clause 4.4. **order of 8.11.2023**
2. Where the former connection-holder objects to a Clause 4.44 transfer, the competent authority must decide the objection on merits after affording an opportunity of hearing to both the applicant/consumer and the objecting complainant; the writ court will relegate the parties to that statutory mechanism rather than decide the objection itself. **order of 8.11.2023**
3. An order passed on a wrong footing — treating a contested transfer of connection as an uncontested new-connection application and without hearing the contesting party — may be recalled so that the matter is heard on merits. **order of 8.11.2023**

HOLDING-UNIT · UP-2005::4.44**RATIO**

Contested objection to a Clause 4.44 connection-transfer to be decided by the competent authority after hearing both sides

QUESTION

Where a consumer seeks transfer of an existing electricity connection under Clause 4.44 following a change of ownership and the former connection-holder objects, how is the dispute to be resolved?

HOLDING

By the competent authority under the Code, on merits and after hearing both sides. Petitioner no. 1 became owner of the property by a family settlement recorded in a 2017 partition suit (decided by judgment dated 24.07.2019) and, on her husband's death, by mutation, and applied to transfer the connection into her name under Clause 4.44; the former connection-holder (respondent no. 6) complained, and the Executive Engineer passed the impugned order dated 16.09.2023 without examining the record. Having recalled its earlier order dated 03.11.2023 (which had proceeded under the new-connection provision, Clause 4.4(a)), the Court, on the parties' agreement, directed that on the petitioners filing their reply to the notice with the requisite documents, the competent authority decide the objection of the contesting respondent on merits, but only after affording an opportunity of hearing to both the petitioners and the complainant. The writ petition was disposed of accordingly. **order of 8.11.2023**

EVIDENCE “we direct that in case the petitioners file their reply to the said notice before respondent no.5 along with all the requisite documents, the concerned authority shall proceed to decide the objection of the contesting respondent on merits, but certainly after giving opportunity to the petitioners as well as the complainant (i.e. respondent no.6).” **order of 8.11.2023**

EVIDENCE “the petitioner no.1 applied for transfer of electricity connected in her name as per provisions contained under Clause 4.44 of the Code” **order of 8.11.2023**

EVIDENCE “Accordingly, the writ petition is disposed of.” **order of 8.11.2023**

FLAG Source is an order-sheet across three dates (18.10.2023-8.11.2023); not paginated, so pins reference the order dates. The operative order is dated 8.11.2023 (Neutral Citation 2023:AHC:214889-DB), which also recalled the Court's earlier order dated 3.11.2023 (proceeding under Clause 4.4(a)). The 18.10.2023 adjournment was before a different Bench.

PRINCIPLE TAGS

connection-transfer-on-change-of-ownership-under-clause-4-44 The petitioner's application to transfer the connection after acquiring ownership by family settlement and mutation was held to fall under Clause 4.44, not the new-connection provision Clause 4.4(a). **order of 8.11.2023**

contested-connection-transfer-decided-by-authority-after-hearing-both-sides The objection of the former connection-holder was relegated to the competent authority to decide on merits after hearing both the petitioners and the complainant, rather than being decided by the writ court. **order of 8.11.2023**

order-recalled-when-passed-on-wrong-footing-without-hearing The earlier order dated 03.11.2023, which had proceeded under Clause 4.4(a) as if the case were for a new connection, was recalled so that the contested transfer could be heard on merits. **order of 8.11.2023**

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — THE MERITS OF THE FORMER CONNECTION-HOLDER'S (RESPONDENT NO. 6) OBJECTION TO THE TRANSFER, AND THE VALIDITY OF THE EXECUTIVE ENGINEER'S ORDER DATED 16.09.2023**

Not decided; relegated to the competent authority to decide on merits after hearing both the petitioners and the complainant. The Court's earlier order dated 03.11.2023 (proceeding under Clause 4.4(a)) was recalled. **order of 8.11.2023**

RELATED CASES — SEE ALSO

SCJ-1218 — Indra Pratap Singh (2014) — a writ for transfer of a connection was disposed by directing the Executive Engineer to examine the request under Clause 4.44.

SCJ-174 — Meva Ram (2014) — transfer/mutation of a connection under Clause 4.44 is for the competent authority to decide (on clearance of dues).

SCJ-1231 — Janardan Dutt Shukla (2014) — an heir must follow the Clause 4.44 procedure for mutation and is not entitled to mutation merely on a writ.

SCJ-857 — Tenant connection without owner NOC (2011) — Clause 4.4(a): a connection where the owner's consent is absent proceeds on an NOC or, failing that, an indemnity bond (the provision the petitioner had invoked).

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.